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The Subscription Playbook 2.0 (Everything I Got Wrong, and What's Working Now)

1 mensagem

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Para: lucas@gebeauty.com.br

Happy Sunday!

A couple weeks ago, I was on a call with a brand doing \$4M/year in subscription revenue. Strong product. Loyal customers. Healthy margins. And their cancel flow was a single dropdown menu and a confirm button. That was it. One step between "I want to leave" and gone. No save offer. No pause option. No exit survey. Just... bye.

When I told them their cancel flow should have the same level of CRO attention as their best-performing landing page, there was a pause on the call. Like it had genuinely never occurred to them. And I get it. Nobody starts a subscription program thinking about the exit. But after 16 months of building, fixing, and scaling subscription programs since I wrote the original Subscription Playbook, I can tell you: how you handle the exit might matter more than how you handle the entrance.

That newsletter became one of the most-replied-to things I've ever sent. It covered the basics. Why subscriptions matter. 7 steps to set one up. Some thoughts on churn and pricing. Good starting point. But if I rewrote it today, at least 40% of it would be different. The landscape has changed, my thinking has evolved, and a bunch of things I believed 16 months ago turned out to be incomplete at best.

This is the update. But, before we get into that...

Vendor of the Week

[Portless](#) — The secret weapon DTC brands use to unlock cash flow.

Ever wonder how Shein and Temu deliver products from China to your front door in under a week, with USPS tracking that looks completely domestic? They built their entire businesses on a model called "Direct Fulfillment," in which inventory sits near where it's manufactured in Asia and ships directly to customers via air freight.

No sea containers. No sitting in a US warehouse for months.

[Portless](#) gives every eCommerce brand access to that same supply chain infrastructure. Jolie uses Portless for shipping their filters, and the customer has zero idea the package originated from Asia. USPS tracking, local labels, the whole nine.

Here's why this matters for your brand: most founders I talk to assume direct fulfillment means slow shipping, sketchy packaging, and a terrible customer experience.

With [Portless](#):

- 90% of orders are delivered in 6-8 days
- Packages arrive with local carrier tracking (USPS, Royal Mail, etc.)
- Rates start at \$5 per package.
- The real unlock... cash flow.

Instead of tying up capital in 3 months of inventory sitting in a US warehouse, you're shipping products days after production. [Portless](#) users are seeing lead times cut by 90% and cash flow increase by 3x.

If you sell apparel, beauty, jewelry, electronics, or anything where the product isn't heavy, this model is a no-brainer. Brands like Moment, Wyze, and The Woobles are already on it.

[Book a call with Portless](#) to see how much you could save on fulfillment and free up in working capital.

Limited Supply

This past week on Limited Supply, I went through a common scenario I find with brands who get stuck at the \$5M or \$25M-\$30M/year range and can't get out of it. It's usually an issue of limiting TAM, unable to find new audience, or sell product to people outside their immediate "warm" audiences... well, this week's episode goes through the full playbook of what I would do in their spot. The website, the branding, the copy, the offers, the emails, the positioning, product expansion, etc., and where I would start first (most important), and then eventually get to fixing (least important).

It's a quick 30-minute listen (while you're working out, showering, or on a walk). Check it out on [Apple Podcasts](#), [Spotify](#), or YouTube. Just search "Limited Supply" and find the blue cover art.

The Subscription Playbook 2.0

What I got wrong the first time

I opened the original playbook with the story of John Campbell launching The Boston News-Letter in 1704 and creating one of America's first subscription programs. The fundamentals of that story are still true. Subscriptions provide predictable revenue, convenience for customers, and they increase the enterprise value of your business. None of that has changed.

What has changed is the environment your subscription program exists in. The average American now has 4+ active subscriptions. Streaming, apps, groceries, supplements, beauty. Every new subscription you ask someone to commit to isn't just competing against other brands in your category. It's competing against Netflix, Spotify, their gym membership, and the dog food that shows up every month for Taco (yes, my family's dog). Subscription fatigue is real, and the bar to earn a recurring commitment from a customer is significantly higher than it was even 12 months ago.

Here's where my thinking has evolved.

In the original, I said "the best cadence is 30 days" for most brands. I still think monthly works well as an entry point for many categories. But the data from the last 16 months has been clear: brands leading with quarterly (90-day) subscriptions are seeing better LTV, lower churn, and faster payback on paid acquisition. Monthly isn't wrong. It's just not the only answer anymore, and for a lot of brands, it's not the best default. The right cadence depends on your product and your customer's actual usage pattern. A daily supplement? Monthly or quarterly both make sense. A shower filter like Jolie that naturally needs replacing every 90 days? Quarterly is the obvious play. A beauty product with unpredictable usage? You might need a "replenish on your schedule" option where the customer picks their own cadence.

The other thing I underestimated was how important it is to treat subscription as its own product. The original playbook treated it like a feature toggle. Check a box, add 15% off, done. In reality, subscription needs its own acquisition strategy, its own landing pages, its own creative, and its own email flows. The brands that treat it like an afterthought get afterthought results.

The membership frame

The biggest evolution I've seen is the shift from "subscribe and save" to "membership." The best programs in 2026 don't feel like auto-ship. They feel like belonging to something. The subscription includes the product plus early access to new launches, exclusive content, physical gifts, community access, and status.

I keep coming back to Costco when I think about this. The membership fee IS the product. The warehouse is just the delivery mechanism. You pay \$65 a year for the privilege of shopping there, and it never feels like a bad deal because the perceived value of what's inside so dramatically exceeds the cost of entry. That's the energy your subscription program should have. Not "save 15% by clicking this box." More like "here's everything you get when you join." The word "join" is doing real work in that sentence, by the way. Join implies community, belonging, status. Subscribe implies obligation, calendar reminders, and an email you'll eventually ignore.

Planet Fitness does something similar from a completely different angle. They make their money from people who don't cancel. Their entire model is built on the friction of commitment combined with enough perceived value that you never feel urgently compelled to leave. \$10 a month is annoying to pay for something you don't use, but it's not annoying enough to go through the hassle of canceling. And every few months you go back, use a treadmill for 20 minutes, and the membership feels justified again.

I'm not saying your subscription should be designed to trap people. I'm saying the best subscription programs understand the psychology of commitment. They make staying easy and leaving feel like you're giving something up. The brands winning in 2026 are borrowing from both of those playbooks.

The 90-day-first strategy

This is the single biggest shift in how I think about subscription programs, and it's something I've been implementing with brands I work with over the last year.

The traditional approach is: offer a one-time purchase as the default, show a monthly subscription as the "savings" option, and maybe include a quarterly option somewhere on the page if the customer digs around. The 90-day sub is usually positioned as the last option, buried at the bottom of a dropdown. Flip it. Lead with the 90-day subscription as your primary CTA.

Here's why the math changes everything. I'll use a supplement brand I've been working with as an example. Their one-time purchase is \$99. The monthly subscription is \$79/month, a 20% savings. But the 90-day subscription is \$129 per quarter, which breaks down to roughly \$43/month or about \$1.43/day. That 90-day subscription collects \$129 on day one. If your blended CPA is \$60-80, you're at payback on the first shipment. Monthly at \$79 means you need more time to break even. That difference changes how aggressively you can spend on Meta, how much room you have for creative testing, and how fast you can scale acquisition.

But the math alone isn't what makes this work. The bundle is what seals it.

The 90-day subscription shouldn't just be cheaper per month. It should come with physical gifts that make it feel like a premium purchase. Brands like IM8 Health (David Beckham's wellness brand) do this well. Their subscription includes a welcome kit with a Signature Red Cup, travel sachets, and a daily mixer. The perceived value is significant, even though the actual COGS on those items is relatively modest. It makes the subscription feel like you're joining something, not just buying a powder on autopilot.

So here's how you structure it. Your one-time purchase is product only at full price. That's your anchor. Your monthly subscription includes the product plus maybe a small branded container or sample at a moderate savings. And your 90-day subscription is the full welcome bundle: product, tumbler, travel accessories, guide, bonus samples, maximum savings. The \$50-70 in added gift value on the 90-day might cost you \$12-18 in

COGS, but it makes the quarterly option feel like the obvious choice. The one-time purchase suddenly feels like you're leaving free stuff on the table.

I wrote about this three-tier pricing structure in the Promotions 101 newsletter a few weeks ago. If you missed it, go back and read it. Today I'm going deeper on why quarterly-first is the move for so many brands.

Positioning matters here. Don't say "subscribe and save 30%." Say "Start your 90-day routine" or "Get the full starter kit." You're selling a habit, a routine, a lifestyle decision. Not a discount. And always, always show the cost-per-day instead of the monthly cost. "\$1.43/day" feels like nothing. "\$43/month" feels like a bill. "\$129 every 90 days" feels like a commitment. Same product, same price, completely different psychology. Every landing page, every email, every ad should lead with the daily cost.

This doesn't mean quarterly is right for every brand. If your product has a natural 30-day replenishment cycle and your customer base is highly engaged, monthly might still be your best bet. Test it. But for consumables, supplements, and daily-use products, 90-day-first is worth serious consideration.

The cancel flow is your landing page

Try to cancel the Wall Street Journal. I dare you. They will offer you 3 different prices, a pause option, a reduced frequency, and a personalized reason to stay, all before you actually get to the cancel button. That's not annoying. That's a conversion funnel in reverse. And if you're running a subscription program, your cancel flow should have the same level of intentionality.

Most brands treat the cancel flow like a form. Customer clicks cancel, maybe gets a dropdown asking why, clicks confirm, done. That's a checkout page with one step. You'd never build a checkout page with one step. So why would you build a cancel flow with one step?

The first thing you do is ask why they're canceling. Not a dropdown. A real survey with clear options. "I have too much product." "It's too expensive." "I'm not using it enough." "I found something better." "I just need a break." "I didn't like the product." This does two things: it gives you data you can actually use to improve the subscription program, and it creates a moment of pause. That extra step alone saves a percentage of cancellations because some people realize they don't actually want to cancel, they want to be heard.

Based on what they say, you serve a tailored save offer. This is where it gets powerful. If someone says they have too much product, you offer to skip a shipment or switch them to a longer cadence. You're not fighting the objection. You're solving it. If they say it's too expensive, you offer a one-time discount or a downgrade to a smaller size. If they say they need a break, you give them a 30, 60, or 90-day pause with automatic reactivation, which is a massively underused feature. Most subscription platforms support it. Almost nobody uses it well. The key insight is that a pause is not a cancel. A paused subscriber is 5-10x more likely to reactivate than a fully churned one.

If they still want to cancel after the tailored offer, you give them one more shot. A free month, a gift with their next order, or a meaningful discount. This is your "are you sure?" moment. And if they STILL want to leave, you let them go gracefully. Don't make it hostile. But immediately tag them for your winback flow.

Track your save rate. What percentage of people who click "cancel" do you retain through the flow? The best brands I've worked with are saving 25-40% of attempted cancellations. If you're below 15%, your cancel flow is a form, not a funnel. Treat it with the same CRO energy you'd give a landing page, because that's exactly what it is.

Subscription promotions (done right)

A beauty and wellness brand I work with ran an anniversary sale recently. 30% off sitewide. But here's the key: they applied the 30% off to the first month of subscriptions only. Not the whole subscription. Not forever. Just month one. This was smart because it lowered the barrier to try the subscription without permanently discounting the product, and after that first month, the customer was at the regular subscription price but now they were in the habit. The product was on their counter. It was part of their routine. On top of that, their loyalty program members got early access, which drove subscription conversions among the most engaged customers, and the gift-with-purchase threshold (spend \$75, get a free product) stacked with the subscription discount, making the perceived value enormous.

The broader principle is this: your promotions should be designed to drive subscription, not compete with it. I see brands mess this up constantly. If your sitewide sale offers 30% off one-time purchases but your subscription only saves 15%, you're incentivizing the wrong behavior. During promotional periods, the subscription offer should always be equal to or better than the one-time offer.

The most creative play I've seen lately is subscription-only access during major promotional periods. Instead of discounting during BFCM, you release a limited edition flavor, an exclusive bundle, or a holiday variant that's only available to subscribers. The deal isn't a discount. It's access to something they can't get any other way. That's a fundamentally different value proposition than "save 20%," and it attracts a different (better) type of subscriber.

The other move worth calling out is the "upgrade your subscription" promotion. For monthly subscribers, you offer a one-time incentive to switch to quarterly. A free gift, a bonus product, extra points in your loyalty program. The economics of getting a monthly subscriber to shift to quarterly are almost always worth a \$10-15 incentive, and you can run this as a campaign once a quarter. Annual lock-ins work the same way: offer month 13 free for anyone who commits to a year. The math works because annual churn is dramatically lower than monthly.

Winback your churned subscribers

Here's the uncomfortable truth: most brands treat churned subscribers like they're dead. They send one "we miss you" email 30 days later and move on. Meanwhile, that former subscriber is sitting on your email list, seeing your regular campaigns, and every time they see a full-price email, it reinforces their decision to cancel.

You need a system, not a single email.

The first two weeks after someone cancels, don't email them about resubscribing. They literally just told you they want to leave. Respect that. But DO send a "here's what's coming" email that highlights upcoming launches, subscriber-only perks they'll be missing, and what's in the pipeline. Plant the seed of FOMO without asking for anything.

Around day 14-30, that's when you make your move. One email, one SMS. Simple and direct. "Your spot is still here. Come back with [specific offer]." The offer should be better than what they had when they left. A free month, a gift with purchase, or an exclusive product. This is not the time for "10% off." They already had a discount. They left anyway. You need to offer something they haven't seen before.

Between days 30 and 60, your best lever is product. If you have a new product, new flavor, or new variant, "We just launched [X]. Want to try it?" gives them a reason to re-engage that has nothing to do with price. A new product is a fresh start, not a rehash. This is why having a consistent product launch cadence matters beyond just the revenue from the new SKU. Every new product is a winback touchpoint.

After 60 days, you're in long-game territory. A survey around this time ("We've given you space. We'd love to know what would bring you back.") does double duty as a data play and a re-engagement play. The act of

responding reactivates the relationship. Beyond 90 days, shift to quarterly check-ins. Don't keep hitting them monthly. And beyond 6 months, they're effectively a cold lead and should be treated as a reacquisition target, not a winback.

One more move that most brands miss entirely: build a Meta custom audience of churned subscribers from the last 90 days. Run specific creative to them. Not "we miss you" creative. Creative that shows what's new. "We've changed. Here's what's different." This hits them in a completely different context (social feed vs. inbox) and can be surprisingly effective at re-engaging people who have tuned out your emails.

Why subscription might still not make sense

Quick section, because I don't want to waste your time repeating what I covered in the original. Mattresses, luxury apparel, shoes, appliances. High AOV, infrequent purchase, no natural replenishment cycle. Subscription doesn't fit there. Still true.

Two updates worth noting. "Reorder reminders" are emerging as a powerful middle ground for products with unpredictable usage cycles. Think Osmo Salt or Jones Road Miracle Balm, where you never know exactly when you'll run out. A well-timed "it's been X weeks, running low?" email captures a lot of the same subscription benefit without the commitment or the cancellation headaches. And subscription fatigue itself is a valid reason not to launch one. If your customer is already juggling 5+ active subscriptions and your product isn't something they use daily, a loyalty or VIP program that rewards repeat purchases without requiring a recurring commitment might be the smarter play.

Bonus! Your email capture rate is your subscription ceiling

Everything I've covered today (cancel flows, winback sequences, subscription promotions) requires you to have a relationship with the customer. And that relationship starts with their email address. If your visitor-to-email capture rate is below 10%, you're capping your subscription revenue before you even get to the subscription pitch.

The benchmark I push brands toward is 15%. Most are sitting at 2-5% because their popup is a generic "Get 10% off" modal that fires on page load and looks like it was designed in 2019. What's working now is interactive, educational popups that feel like part of the brand experience. Tools like Alia are pushing 15-25% capture rates by using AI-powered A/B testing, behavior-based triggering (scroll depth, time on page, exit intent), and multi-step flows that educate before they ask. I've seen brands go from 5-6% to 28% after switching their approach. That's not marginal. That's 5x more people entering your subscription funnel every single day.

Quick math: 100,000 visitors at 3% capture = 3,000 new emails. At 15% = 15,000. Even if your email-to-subscription conversion rate stays the same, you've 5x'd the top of your funnel. Fix this before you optimize anything downstream.

That's all for this week

The brands winning on subscription in 2026 aren't offering a discount for auto-ship. They're building membership experiences that feel worth belonging to. They're optimizing cancel flows with the same energy they give their best landing pages. They're leading with quarterly when the math supports it. And they're treating churned subscribers like a segment worth fighting for, not a lost cause.

If you take one thing from today: go look at your cancel flow this week. What's your save rate? If you don't know the number, that's the problem. Figure it out. And then treat it the way you'd treat any other conversion metric you report on every Monday morning. Because that's exactly what it is.

That's what I've got for this week. I genuinely believe the subscription game is being won and lost on details that most brands don't even know to measure, and I hope this gives you a few places to start looking. If you want to go deeper on any section here, reply to this email. I read everything and I'll riff.

It's Sunday night, so I hope you plan to get a full 9 hours of sleep going into tomorrow (I certainly am!), and get to apply some of these nuggets to your business this week. If you enjoyed this longer playbook, I plan to turn this into a deck and do some more detailed playbooks with other experts.

Nik

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